

That is why the beachfront house in Malibu is so exceptional. It was something that people would want to own. That it made its owners wealth is all the more remarkable.

But sticking with our theme, we see that while old, rich families may own “prestige properties” and racehorses, it is likely that the new fortune was made elsewhere—perhaps in ghetto housing or chicken farms.

But every family has its weakness. Our own weakness is for old stones. We love broken-down houses, preferably mansions with walled gardens. We can’t resist wanting to fix them up. This really has little to do with the subject of this book, at least not directly. But we might as well reveal our obvious defects; it might help hide the unobvious ones better.

We began restoring houses in Maryland. Our first project was a farmhouse in the southern part of the state. We did it in a cheap way and later sold the house for about what we had invested, not including our time.

Then we went on to Baltimore. There, we found that we could buy beautiful old houses—three-story brick mansions—for \$25,000. We bought a few of them. We fixed them up. We later sold them when it became unsafe to continue living in the ghetto. We made a little on the later ones, but not much.

The city of Baltimore was at that time trying to attract businesses. It gave us two buildings near the downtown area with the condition that we would have to fix them up and put our young publishing business there. You’d think that you couldn’t lose on buildings that you got for free. But you would be wrong. We invested about \$80,000 renovating them and sold the two of them for \$67,000.

Baltimore has been very instructive to us. We’ve learned that city government can destroy a city, no matter how many advantages it has.

Baltimore has one of the best ports on the East Coast. It is at the railhead of a vast network of train lines. It is only one hour by highway from the nation’s capital, only an hour and a half from Philadelphia, and only three hours from New York. It is also in the middle of one of the fastest-growing, richest corridors in the United States, which just happens to be the world’s richest and biggest economy.

It has some of the best schools in the nation, too: Johns Hopkins University is well known worldwide and attracts some of the brightest